

Filed: January 24, 2024

**Annual Financial Report
For the Iowa City Community School District,
Johnson County, Iowa**

**Pursuant to Securities and Exchange Commission Rule 15c2-12
For the Fiscal Year Ended June 30, 2023**

Financial and Operating Data

General Obligation Debt

Sales, Services & Use Tax Revenue Debt

The District's Annual Comprehensive Financial Report for the Fiscal Year ended June 30, 2023, has not been finalized as of the date of this submission. The District's June 30, 2023 Unaudited Financial Statements have been filed with the Municipal Securities Rulemaking Board and the District will provide the June 30, 2023 Annual Comprehensive Financial Report within 90 days of the date of this submission as a separate document.

PROPERTY VALUES

IOWA PROPERTY VALUATIONS

In compliance with Section 441.21 of the Code of Iowa, the State Director of Revenue annually directs the county auditors to apply prescribed statutory percentages to the assessments of certain categories of real property. The 2022 final Actual Values were adjusted by the Johnson County auditor. The reduced values, determined after the application of rollback percentages, are the Taxable Values subject to tax levy. For assessment year 2022, the taxable value rollback rate is 54.6501% of actual value for residential property; 91.6430% of actual value for agricultural property and 100.0000% of the actual value of utility property. The residential taxable rollback rate of 54.6501% would apply to the value of each property unit of commercial, industrial and railroad property that exceeds zero dollars (\$0) but does not exceed one hundred fifty thousand dollars (\$150,000) with a taxable value rollback rate of 90.0000% to the value that exceeds one hundred fifty thousand dollars (\$150,000). No adjustment was ordered for utility property because its assessed value did not increase enough to qualify for reduction. Utility property is limited to an 8% annual growth.

The Legislature's intent has been to limit the growth of statewide taxable valuations for the specific classes of property to 3% annually. Political subdivisions whose taxable values are thus reduced or are unusually low in growth are allowed to appeal the valuations to the State Appeal Board, in order to continue to fund present services.

PROPERTY VALUATIONS (1/1/2022 Valuations for Taxes Payable July 1, 2023 through June 30, 2024)

	<u>100% Actual Value</u>	<u>Taxable Value (With Rollback)</u>
Residential	\$10,161,738,223	\$5,439,598,609
Ag. Land	52,021,319	47,670,790
Ag. Buildings	4,299,090	3,939,821
Commercial	1,528,491,680	1,264,140,291
Industrial	93,339,680	81,801,467
Railroads	19,022,110	17,071,742
Utilities w/o Gas & Electric	<u>30,214,438</u>	<u>30,214,438</u>
Gross valuation	\$11,889,126,540	\$6,884,437,158
Less military exemption	<u>(3,766,652)</u>	<u>(3,766,652)</u>
Net valuation	\$11,885,359,888	\$6,880,670,506
TIF increment (used to compute debt service levies and constitutional debt limit)	\$604,710,187 ¹⁾	\$604,710,187 ¹⁾
Taxed Separately: Utilities – Gas & Electric	\$314,960,058	\$78,332,817

1) Includes \$38,892 Military Tax Exemption.

Source: Iowa Department of Management

2022 GROSS TAXABLE VALUATION BY CLASS OF PROPERTY ¹⁾

	<u>Gross Taxable Valuation</u>	<u>% of Total</u>
Residential	\$5,439,598,609	78.12%
Commercial and Industrial	1,345,941,758	19.33%
Ag. Land and Ag. Buildings	51,610,611	0.74%
Railroads	17,071,742	0.25%
All Utilities	<u>108,547,255</u>	<u>1.56%</u>
Total Taxable Valuation	\$6,962,769,975	100.00%

1) Gross Taxable Valuation includes Ag. Land, Ag. Buildings and all Utilities, but excludes Taxable TIF Increment.

Source: Iowa Department of Management

TREND OF VALUATIONS

Assessment Year	Payable Fiscal Year	100% Actual Valuation	Taxable Valuation	Taxable TIF Increment Valuation
2018	2019-20	\$10,773,522,141	\$6,318,955,710	\$514,522,470
2019	2020-21	11,749,782,715	6,704,295,885	544,371,481
2020	2021-22	12,022,100,708	6,879,842,218	609,888,470
2021	2022-23	12,535,544,195	6,925,691,016	605,521,436
2022	2023-24	12,805,030,133	6,959,003,323	604,710,187

The 100% Actual Valuations, before rollback, and after reduction of military exemption, include Ag. Land, Ag. Buildings, TIF Increment and all Utilities. The Taxable Valuations, with the rollback and after reduction of military exemption, include Ag. Land, Ag. Buildings and all Utilities, but exclude the Taxable TIF Increment. Iowa school districts certify operating levies against Taxable Valuation excluding Taxable TIF Increment. Debt Service and PPEL levies are certified against Taxable Valuation including the Taxable TIF Increment.

Source: Iowa Department of Management

LARGER TAXPAYERS

Set forth in the following table are the persons or entities which represent larger taxpayers within the boundaries of the District, as provided by the Johnson County auditor's office. No independent investigation has been made of and no representation is made herein as to the financial condition of any of the taxpayers listed below or that such taxpayers will continue to maintain their status as major taxpayers in the District. The District's mill levy is uniformly applicable to all of the properties included in the table, and thus taxes expected to be received by the District from such taxpayers will be in proportion to the assessed valuations of the properties. The total tax bill for each of the properties is dependent upon the mill levies of the other taxing entities which overlap the properties.

<u>Taxpayer</u> ¹⁾	<u>Type of Property/Business</u>	<u>1/1/2022 Taxable Valuation</u> ²⁾	<u>% of District's Total Taxable Valuation</u> ³⁾
Mid American Energy	Utility	\$66,652,138	0.88%
Coral Ridge Mall LLC	Commercial	49,123,066	0.65%
City of Coralville	Commercial	31,798,006	0.42%
Rise at Riverfront Crossing Owner LLC	Residential	30,263,034	0.40%
BBCS-Hawkeye Housing, LLC	Residential	27,712,500	0.37%
Iowa Latitude, LLC	Commercial	26,885,545	0.36%
Hawk Landlords (IA) LLC	Residential	26,385,466	0.35%
Act, Inc.	Commercial	26,114,514	0.35%
Midwestone Bank	Commercial	24,947,645	0.33%
Tailwind Iowa City, LLC	Commercial	23,782,455	0.31%

1) This list represents some of the larger taxpayers in the District, not necessarily the 10 largest taxpayers.

2) The January 1, 2022 Taxable valuations listed represents only those valuations associated with the title holder and may not necessarily represent the entire taxable valuation.

3) Calculated based on the District's total January 1, 2022 Taxable Valuation of \$7,563,713,510, which includes taxable TIF increment valuation and excludes ag land and building valuation.

Source: Johnson County Auditor's Office

DEBT LIMIT

Article XI, Section 3 of the State of Iowa Constitution limits the amount of debt outstanding at any time of any county, municipality or other political subdivision to no more than 5% of the actual value of all taxable property within the corporate limits, as taken from the last state and county tax list. The debt limit for the District, based on its 2022 actual valuation currently applicable to the Fiscal Year 2023-24, is as follows:

Net 2022 Actual Valuation for Debt Limit Purposes	\$12,805,030,133
Legal Debt Limit of 5%	<u>0.05</u>
Legal Debt Limit	\$640,251,507
Less: General Obligation Debt Subject to Limit	<u>(158,680,000) ¹⁾</u>
Net Debt Limit	\$481,571,507

- 1) It has not been determined whether Sales Tax Revenue Bonds count against the District's constitutional debt limit. If Sales Tax Revenue Bonds were to count against the District's constitutional debt limit, the aggregate outstanding debt would increase by \$164,695,000 and the Net Debt Limit would be \$316,876,507.

Source: Iowa Department of Management, the District

DIRECT DEBT

General Obligation Debt Supported by the Debt Service Levy

<u>Date of Issue</u>	<u>Original Amount</u>	<u>Purpose</u>	<u>Final Maturity</u>	<u>Principal Outstanding As of 06/30/23</u>
12/17C	\$58,955,000	School Buildings & Facilities	06/37	\$40,465,000
1/19	66,645,000	School Buildings & Facilities	06/38	56,100,000
2/20	65,925,000	School Buildings & Facilities	06/39	<u>60,250,000</u>
Total General Obligation Debt Subject to Limit				\$156,815,000

General Obligation Debt Supported by the PPEL Levy

<u>Date of Issue</u>	<u>Original Amount</u>	<u>Purpose</u>	<u>Final Maturity</u>	<u>Principal Outstanding As of 06/30/23</u>
12/14	\$9,430,000	School Buildings & Equipment	06/25	\$1,865,000
Total General Obligation Debt Subject to the Debt Limit				\$158,680,000

Source: The District

Annual Fiscal Year G.O. Debt Service Payments Paid by the Debt Service Levy

<u>Fiscal Year</u>	<u>Principal</u>	<u>Principal & Interest</u>
2023-24	\$7,445,000	\$13,163,936
2024-25	8,120,000	13,466,686
2025-26	8,505,000	13,445,686
2026-27	9,070,000	13,585,436
2027-28	9,445,000	13,532,986
2028-29	9,800,000	13,483,486
2029-30	10,125,000	13,423,836
2030-31	10,440,000	13,371,211
2031-32	10,775,000	13,359,186
2032-33	11,125,000	13,349,341
2033-34	11,455,000	13,336,654
2034-35	11,800,000	13,326,694
2035-36	12,160,000	13,333,146
2036-37	12,545,000	13,346,213
2037-38	9,325,000	9,734,625
2038-39	<u>4,680,000</u>	4,797,000
Total	\$156,815,000	

Annual Fiscal Year G.O. Debt Service Payments Paid by the PPEL Levy

<u>Fiscal Year</u>	<u>Principal</u>	<u>Principal and Interest</u>
2023-24	\$920,000	\$959,663
2024-25	<u>945,000</u>	966,263
Total	\$1,865,000	

Source: The District

TAX LEVIES AND COLLECTIONS

<u>Fiscal Year</u>	<u>Levy</u>	<u>Collected During Collection Year</u>	<u>Percent Collected During Collection Year</u>
2019-20	\$95,100,386	\$93,272,953	98.08%
2020-21	101,481,415	102,985,438 ¹⁾	101.48%
2021-22	104,277,094	103,160,294	98.93%
2022-23	105,515,933	106,017,973	100.48%
2023-24	115,430,791	---In Process of Collection---	

Taxes in Iowa are delinquent each October 1 and April 1 and a late payment penalty of 1.5% per month of delinquency is enforced as of those dates. If delinquent taxes are not paid, the property may be offered at the regular tax sale on the third Monday of June following the delinquency date. Purchasers at the tax sale must pay an amount equal to the taxes, special assessments, interest and penalties due on the property and funds so received are applied to taxes. A property owner may redeem from the regular tax sale but, failing redemption within three years, the tax sale purchaser is entitled to a deed which in general conveys the title free and clear of all liens except future tax installments.

- 1) Total collections for Fiscal Year 2020-21 are over 100% due to delinquent tax collections with no tax sales in June 2020 based on the Governor's emergency order related to Covid-19.

Source: Johnson County

CURRENT STATEWIDE DISBURSEMENTS OF THE TAX AND AVERAGE REVENUE PER STUDENT

Formerly titled "Current Statewide Receipts of the Tax and Average Revenue Per Student"

<u>Fiscal Year</u>	<u>Projected Statewide Receipts</u>	<u>Statewide Enrollment</u> ¹⁾	<u>Estimated Statewide Revenue Per Student</u>	<u>Actual Statewide Revenue Per Student</u> ²⁾	<u>Actual Statewide Disbursements</u>
2019-20	\$516,580,430	487,652	\$1,059	1,037	\$505,593,619
2020-21	499,356,868	490,094	1,019	1,112	544,786,628
2021-22	540,481,659	484,159	1,116	1,229	594,840,684
2022-23	598,208,742	485,630	1,232	1,201	583,241,630
2023-24	600,004,287 ³⁾	486,476	1,233	N/A	N/A

- 1) Prior October count.
2) Actual Statewide Revenue per Student is recalculated each November following the close of the fiscal year based on actual statewide receipts divided by Statewide Enrollment. Beginning with the October 2022 sales tax payment, the administration of local government sales tax distribution payments changed to make distributions based on actual sales tax receipts in the preceding month.
3) Fiscal Year 2023-24 Statewide Average Revenue per Student estimate provided by the Iowa Department of Revenue.

Source: Iowa Department of Revenue

ACTUAL PRIOR TAX, ACTUAL TAX AND PROJECTED TAX REVENUE

The following table presents the actual Prior Tax Revenue received by the District from the Fiscal Years ending June 30, 2020 through 2023 and the Projected Tax Revenue for the Fiscal Year ending June 30, 2024.

<u>Fiscal Year</u>	<u>Actual Prior Tax and Tax Revenue</u>	<u>Projected Tax Revenue</u>
2019-20	\$14,800,144	
2020-21	14,539,517	
2021-22	17,240,332	
2022-23	19,687,857 ¹⁾	
2023-24		\$17,809,616 ²

1) Unaudited actual tax revenue as reported in the District's Certified Annual Report for FY 2022-23.

2) Estimated, based on the Iowa Department of Revenue estimated statewide average of \$1,233.37, multiplied by the October 2022 certified enrollment for Fiscal Year 2023-24 of 14,439.8.

Source: Iowa Department of Revenue and the District's Annual Comprehensive Financial Report.

PROJECTED DEBT SERVICE COVERAGE

Presented below is a projection of the debt service coverage on the Bonds and Parity Bonds.

<u>Fiscal Year</u>	<u>Prior Tax Revenue</u>	<u>Max Annual Debt Service</u> ¹⁾	<u>Debt Service Coverage</u>
2019-20	\$14,800,144	\$10,782,589	1.37x
2020-21	14,539,517	10,781,933	1.35x
2021-22	17,240,332	10,673,197	1.62x
2022-23	19,687,857 ²⁾	14,232,828	1.38x
2023-24	17,809,616 ³⁾	14,232,828	1.25x

1) Represents the maximum annual debt service on all outstanding parity bonds as of June 30th of the stated fiscal year.

2) Unaudited actual tax revenue as reported in the District's Certified Annual Report for FY 2022-23.

3) Estimated, based on the Iowa Department of Revenue estimated statewide average of \$1,233.37, multiplied by the October 2022 certified enrollment for Fiscal Year 2023-24 of 14,439.8.

Source: Iowa Department of Revenue and the District's Annual Comprehensive Financial Report.

School Infrastructure Sales, Services & Use Tax Revenue Debt

<u>Date of Issue</u>	<u>Original Amount</u>	<u>Purpose</u>	<u>Final Maturity</u>	<u>Principal Outstanding As of 06/30/23</u>
12/16	\$10,000,000	School Buildings	6/29	\$5,310,000
1/17A	11,185,000	School Buildings	6/29	5,940,000
8/17B	21,200,000	School Buildings	6/29	11,555,000
6/18	9,085,000	School Buildings	6/29	5,060,000
8/22	65,815,000	School Buildings	6/37	65,360,000
6/23	71,470,000	School Buildings	6/38	<u>71,470,000</u>
Total				\$164,695,000

Annual Fiscal Year Sales Tax Debt Payments

<u>Fiscal Year</u>	<u>Principal</u>	<u>Principal & Interest</u>
2023-24	\$8,805,000	\$14,232,828
2024-25	8,960,000	14,231,545
2025-26	9,240,000	14,230,497
2026-27	9,530,000	14,230,418
2027-28	9,825,000	14,225,918
2028-29	10,135,000	14,226,898
2029-30	10,455,000	14,227,777
2030-31	10,815,000	14,226,721
2031-32	11,190,000	14,228,198
2032-33	11,580,000	14,231,705
2033-34	11,975,000	14,226,687
2034-35	12,390,000	14,228,014
2035-36	12,815,000	14,224,961
2036-37	13,260,000	14,227,196
2037-38	<u>13,720,000</u>	14,229,012
Total	\$164,695,000	

ENROLLMENT

Listed below are certified enrollment figures, open enrollment figures, and projected enrollment figures for the District.

Total Certified Enrollment

<u>Count Date</u>	<u>Fiscal Year</u>	<u>Enrollment</u>
October 2019	2020-21	14,573.3
October 2020	2021-22	14,284.8
October 2021	2022-23	14,394.9
October 2022	2023-24	14,439.8
October 2023	2024-25	14,378.7

Source: The District

Open Enrollment

Students in Iowa are allowed to choose to enroll into and out of the District. The District has participated in an open enrollment plan supported by the State Department of Children, Families and Learning since its inception. The additional students are measured in terms of Weighted Average Daily Membership (WADM). According to the open enrollment program, the District's revenues per pupil are adjusted for any net gains and/or losses in enrollment. Listed below are the recent open enrollment numbers.

<u>Count Date</u>	<u>Fiscal Year</u>	<u>Enrolled In</u>	<u>Enrolled Out</u>	<u>Net</u>
October 2019	2020-21	184.2	381.0	(196.8)
October 2020	2021-22	184.0	381.8	(197.8)
October 2021	2022-23	285.9	321.8	(35.9)
October 2022	2023-24	303.6	345.1	(41.5)
October 2023	2024-25	349.1	331.0	18.1

Source: The District

Projected Enrollment

<u>Count Date</u>	<u>Fiscal Year</u>	<u>Cooperative Strategies Projected Enrollment</u>
October 2024	2025-26	14,973
October 2025	2026-27	14,995
October 2026	2027-28	15,081
October 2027	2028-29	15,046

Source: The District